

Please write clearly in block capitals.

Centre number Candidate number

Surname _____

Forename(s) _____

Candidate signature _____

A-level

ECONOMICS

Paper 1 Markets and market failure

Predicted Paper **Time allowed: 2 hours**

Materials

For this paper you must have:

- an AQA 12-page answer book
- a calculator.

Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/1.
- In Section A, answer **EITHER** Context 1 **OR** Context 2.
- In Section B, answer **ONE** essay.

Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
 - use good English
 - organise information clearly
 - use specialist vocabulary where appropriate.

Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

Predicted Paper — For revision purposes only [Set B — Hard]

Section A

Answer EITHER Context 1 OR Context 2.

EITHER

Context 1

Total for this context: 40 marks

The UK housing market

Study **Extracts A, B and C** and then answer **all** parts of Context 1 which follow.

Extract A: UK housing market indicators

Figure 1: UK housebuilder market shares by completions, 2023

Firm	Completions	Market share (%)
Barratt Developments	17,206	15.4
Taylor Wimpey	10,848	9.7
Persimmon	9,922	8.9
Bellway	10,945	9.8
Berkeley Group	4,043	3.6
Redrow	5,436	4.9
Vistry	8,120	7.3
Other (SME builders, HAS)	44,980	40.4

Figure 2: UK housing market indicators, 2014–2024

Year	Average house price (England, £)	Net new homes (000s)	Private rents index (2015 = 100)	Homelessness (households, 000s)
2014	192,500	138	96.4	112
2017	245,800	217	103.7	135
2020	268,300	244	108.2	148
2024	309,700	212	128.9	171

Source: Office for National Statistics / Ministry of Housing, 2024

Extract B: Market failure in the UK housing market

Housing affordability in the United Kingdom has deteriorated markedly over the past two decades. In 2024 the average house price in England reached 8.3 times median annual earnings, the highest ratio on record. Analysts attribute the imbalance to persistent under-supply: planning restrictions, green-belt policy, and a concentrated housebuilding industry in which the largest firms account for a significant share of new home completions. The Competition and Markets Authority (CMA) published a market study in 2024 concluding that the speculative housebuilding model produces fewer and lower-quality homes than a more competitive market would.

Demand-side pressures — population growth, historically low real interest rates in the 2010s, and inward migration to urban areas — have compounded the imbalance. Economists identify several forms of market failure. Persistent under-supply generates negative externalities: homelessness imposes costs on the NHS and local authorities, and high housing costs reduce labour mobility, harming the productive efficiency of the wider economy. Information asymmetries between developers and buyers — over build quality, planning risks and future neighbourhood development — distort market prices. Large landowners and developers exercise considerable market power, particularly at the local level.

Source: News reports, October 2024

Extract C: Policy debate on housing intervention

Economists disagree about the appropriate policy response. Free-market economists argue that planning liberalisation — rather than subsidy — is the most efficient solution, since schemes such as Help to Buy have been shown by the National Audit Office (2024) to have inflated prices by an estimated 1–2% without meaningfully increasing the housing stock. Others argue that the housing market exhibits multiple forms of market failure that cannot be addressed by supply-side reform alone.

A 2024 Resolution Foundation report estimated that the UK has a deficit of approximately 4.3 million homes relative to comparable European economies, and called for direct public construction of social housing funded by government borrowing. Meanwhile, proposals to introduce rent controls in England — already operating in Scotland — have divided economists. Supporters argue controls address the regressive distributional impact of rising rents; opponents point to long-run evidence that controls reduce the supply and quality of rental housing. Government failure is a further concern: frequent changes to planning policy, stamp-duty reliefs and Help-to-Buy schemes have created policy uncertainty that itself discourages long-term investment.

Source: News reports, January 2025

0 1 Using the data in Extract A (Figure 1), calculate the four-firm concentration ratio in the UK housebuilding industry. Give your answer, as a percentage, to one decimal place. **[2 marks]**

0 2 Explain how the data in Extract A (Figure 2) suggest that the UK housing market is experiencing persistent excess demand. **[4 marks]**

0 3 Extract B (lines 10–12) states that 'Persistent under-supply generates negative externalities: homelessness imposes costs on the NHS and local authorities, and high housing costs reduce labour mobility, harming the productive efficiency of the wider economy.'
[9 marks]

With the help of a diagram, explain how negative externalities arising from the UK housing market may result in a misallocation of resources.

0 4 Extract C (lines 9–11) states that 'the UK has a deficit of approximately 4.3 million homes relative to comparable European economies, and [the Resolution Foundation has] called for direct public construction of social housing funded by government borrowing.'
[25 marks]

Use the extracts and your knowledge of economics to assess the view that the most effective way to address the UK housing crisis is through direct government provision of housing, rather than supply-side reforms to the planning system.

Do NOT answer Context 2 if you have answered Context 1.

OR

Context 2

Total for this context: 40 marks

Competition in the UK grocery market

Study Extracts D, E and F and then answer **all** parts of Context 2 which follow.

Extract D: The UK grocery market

Figure 3: UK grocery market shares by value, 12 weeks to January 2024

Retailer	Market share (%)
Tesco	27.6
Sainsbury's	15.7
Asda	13.5
Aldi	10.4
Morrisons	8.8
Lidl	7.8
Co-op	5.4
Waitrose	4.7
Other	6.1

Figure 4: Food price inflation and grocery operating margins, 2019–2024

Year	CPI food inflation (annual %)	Avg. grocery operating margin (%)	Own-label share of grocery sales (%)
2019	1.9	3.5	52.1
2021	0.5	3.8	51.4
2023	19.1	3.6	55.9
2024	3.4	3.7	57.3

Source: Kantar / Competition and Markets Authority, 2024

Extract E: Oligopoly and pricing behaviour

The UK grocery market has the features of a classic oligopoly: a small number of large firms account for most sales, products are differentiated through branding and store experience, and barriers to entry are significant due to the need for extensive distribution networks and scale economies. Rivalry takes place largely through non-price competition — loyalty schemes such as Tesco's Clubcard and Sainsbury's Nectar, investments in own-label ranges, and delivery services — rather than through aggressive price discounting.

In 2024 the Competition and Markets Authority concluded a review of food-pricing practices, finding "limited evidence of competition failure" but highlighting concerns about loyalty-pricing schemes that may confuse consumers about the true cost of products. Behavioural economists have argued that loyalty schemes exploit bounded rationality: shoppers over-weight headline discounts and under-weight base prices, reducing the effectiveness of competitive pricing signals. Aldi and Lidl — the German discounters — have taken over 18% of the market through a disruptive low-price, low-range model, challenging the pricing power of the Big Four incumbents.

Source: News reports, March 2024

Extract F: Policy issues in the UK grocery market

During the 2022–2024 cost-of-living crisis, concerns about supermarket pricing intensified. The CMA's 2024 investigation concluded that headline profit margins had not risen substantially, but that pricing in some categories — notably infant formula, where four manufacturers account for 95% of sales — raised concerns about market power at the supplier level. Supermarkets themselves face supply-chain pressures: wholesale commodity prices rose sharply in 2022 before easing, and the CMA criticised some firms for failing to pass cost reductions through to consumers promptly.

Critics argue that current competition policy is insufficient. Loyalty schemes, "shrinkflation" (reduction in package size without price change) and opaque unit pricing all risk misleading consumers. Some economists call for stronger unit-pricing regulations and tougher scrutiny of mergers and acquisitions in the sector. Others argue that the rapid growth of discounters proves markets are self-correcting, and that additional regulation risks government failure by raising entry barriers and reducing dynamic efficiency. The productive efficiency generated by scale economies in the sector is substantial, but these benefits may not reach consumers in uncompetitive local markets.

Source: News reports, November 2024

0 5 Using the data in Extract D (Figure 3), calculate the combined market share of the four largest grocery retailers in the UK in the 12 weeks to January 2024. Give your answer, as a percentage, to one decimal place. **[2 marks]**

0 6 Explain how the data in Extract D (Figure 4) suggest that supermarkets did not benefit from excess profits during the period of high food price inflation. **[4 marks]**

0 7 Extract E (lines 7–10) states that 'Rivalry takes place largely through non-price competition — loyalty schemes... investments in own-label ranges, and delivery services — rather than through aggressive price discounting.' **[9 marks]**

With the help of a diagram, explain why firms in an oligopolistic market may prefer non-price competition to price competition.

0 8 Extract F (lines 13–14) states that 'the rapid growth of discounters proves markets are self-correcting, and that additional regulation risks government failure by raising entry barriers and reducing dynamic efficiency.' **[25 marks]**

Use the extracts and your knowledge of economics to evaluate the view that competition policy in the UK grocery market should focus on reducing information asymmetries rather than on breaking up market concentration.

Section B

Answer ONE essay from this section.

Each essay carries 40 marks.

EITHER

Essay 1

Price discrimination is increasingly common in the UK economy, from airline ticket pricing to cinema discounts for students and dynamic pricing by online retailers. While it can benefit some consumers through lower prices, it may also extract consumer surplus and reduce overall welfare. The 2024 controversy over "surge pricing" for Oasis concert tickets has raised public awareness of the practice.

- 0 9** Explain, with the aid of a diagram, the conditions necessary for a firm to practise price discrimination, and illustrate how a monopolist can use third-degree price discrimination to increase its profits. **[15 marks]**
- 1 0** Evaluate the view that price discrimination always reduces economic welfare, and should therefore be restricted by competition authorities. **[25 marks]**

OR

Essay 2

The UK has one of the highest levels of income inequality among advanced economies, with the Gini coefficient at around 0.36 in 2023. Wealth inequality is even more pronounced: the top 10% of households own around 43% of total wealth, while the bottom 50% own less than 9%. Economists disagree about whether inequality is a market failure that requires intervention, or simply the outcome of differences in productivity and choice.

- 1 1** Explain the main economic causes of income and wealth inequality in the UK. **[15 marks]**
- 1 2** Evaluate the view that progressive taxation is the most effective way to reduce income and wealth inequality in the UK. **[25 marks]**

OR

Essay 3

Government intervention is often justified as a way of correcting market failure. However, intervention may itself fail — through regulatory capture, information failures within government, unintended consequences, and short-term political incentives. Recent examples include the failures of the UK Help to Buy scheme to improve housing affordability, and the design of some environmental subsidies that have rewarded existing polluters rather than encouraging genuine emissions reductions.

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|------------|---|-------------------|
| 1 3 | Explain, using real-world examples, what is meant by government failure. | [15 marks] |
| 1 4 | Evaluate the view that the risks of government failure are so great that governments should intervene in markets only in cases of severe market failure, such as public goods and significant external costs. | [25 marks] |

END OF QUESTIONS